

JSS 2 NIGERIAN HISTORY – FIRST TERM

TOPIC 8: OIL BOOM OF THE 1970s

1. Discovery and Rise of Oil

Commercial quantities of crude oil were discovered at Oloibiri (in present-day Bayelsa State) in 1956. Production and exports grew in the 1960s. In the 1970s, especially after the global oil price rises of 1973, Nigeria's oil revenues increased dramatically. Oil became the dominant source of government income and foreign exchange.

2. Effects on the Economy

Positive effects:

- Large increase in government revenue and ability to fund projects.
- Investment in infrastructure, education, and the new federal capital (later Abuja).
- Growth of related industries and urban employment.

Negative effects / challenges:

- Neglect of agriculture (“oil boom, agricultural doom”) and increased food imports.
- Over-dependence on a single commodity; vulnerability to oil price falls.
- Corruption and waste in the management of oil wealth.
- Environmental damage in oil-producing areas.
- Inflation and unequal distribution of benefits.

3. Summary

The oil boom of the 1970s transformed Nigeria's economy by providing huge revenues but also created dependence on oil, neglect of other sectors, and long-term structural problems. Managing oil wealth wisely remains a central issue in Nigerian history.

End of Topic 8 – Oil Boom of the 1970s

— End of JSS 2 Nigerian History First Term Notes —